



INSTITUTE FOR REGULATORY REALITY (IRR)

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• WHITE PAPER SERIES NO. 52-C •



Project Title: Reasonable Reliance: A Regulatory Examination of Artificial Intelligence Marketing Claims, Liability Distribution, and the Strategic Use of the Word “May”



Classification: Public, Uncomfortable



Circulation: Legal Departments, Marketing Departments, People Who Said “It Can Basically Do Everything”



SEAL OF SCRUTINY

1. EXECUTIVE SUMMARY

This paper examines the widening gap between Artificial Intelligence Capability (AIC) and Artificial Intelligence Advertising (AIA), hereafter referred to as the **Expectation–Reality Liability Gap (ERLG)**. While AI systems are probabilistic text and pattern generation tools with known limitations, they are frequently presented in marketing materials using language that implies autonomy, reasoning, understanding, reliability, and professional equivalence.

This document does not evaluate the technology itself; rather, it evaluates the representation of the technology and the legal doctrine of Reasonable Reliance (RR) under consumer protection law. The Institute’s central finding is as follows: The primary risk in the AI industry is not technological failure, but expectation inflation created by marketing language operating in legally optimized ambiguity space. In simple terms: **The engineering is probabilistic. The marketing is deterministic. The liability is undecided.**





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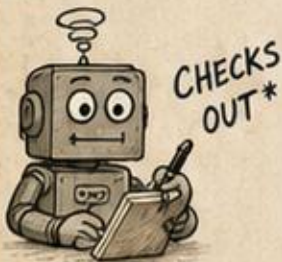
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2. DEFINITIONS

To prevent immediate denial from all parties, the Institute defines the following technical terms:

**DEFINITION
AUDITED ✓**

IRR FORM D-14



*SUBJECT TO
REVOCATION

**LIBERTY
OF LANGUAGE
LIMITED**



PYRAMID OF
ALLOWABLE CLAIMS

Term	Definition
Understands	Generates statistically plausible language about a topic
Reasons	Produces structured text that resembles reasoning
Knows	Has seen similar text before
Learns	Was trained earlier and is now being rebranded
Autonomous	Requires a human but in a less visible way
Human-level	Performs well on carefully selected benchmarks
Assist	Does work you must check
May	Legal invisibility cloak
Can	Technically possible under non-chaotic conditions



SEAL OF SCRUTINY

DEFINITIONS
ARE NOT
PROMISES.



LEGAL REVIEW:

PLAUSIBLE ☐

MARGINAL ☐

VIBRANTLY
AMBIGUOUS ☒

SEE ALSO:
SECTION 4.3
EXPECTATION
MANAGEMENT

These definitions are collectively known as the
Marketing-Engineering Translation Table (METT).

FIELD NOTE

If a word feels
powerful, check
the fine print.
If there is no
fine print, assume
implementation
debt.



**EXISTENCE LICENCE
PERMIT TO BE REAL**

Licence No. IRR-52C-0002

Issued for: Generic Language System

Status:

**APPROVED
WITH CONDITIONS**

Signed:
J. Incredible
Chief Reality Inspector

**PERMITTED
TO EXIST
(PROVISIONAL)**

INSPECTION CHECKLIST

- ☒ CLAIMS CHECKED
- ☒ CONTEXT REASONABLE
- ☒ BENCHMARKS SELECTED
- ☒ EXPECTATIONS MANAGED
- ☒ REALITY ADHERENCE
- ☒ METT APPLIED

**PASS
FOR NOW**

! DEFINITIONS MAY CHANGE WITHOUT NOTICE. YOUR CONTEXT MAY VARY.
PLEASE CONSULT APPLICABLE SECTION BEFORE DEPLOYING IN THE WILD. !



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3. LEGAL FRAMEWORK: REASONABLE RELIANCE

Under UK consumer protection structure, the relevant legal principle is not whether a system is technically impressive, but whether a reasonable person would be misled about what it can actually do.

The Institute formalizes the legal test as the Five Question Liability Trigger (FQLT):

1. What was claimed?
2. What would a reasonable person think was claimed?
3. What can the product actually do?
4. Is there a gap between #2 and #3?
5. Did someone rely on #2 and suffer loss because of #3?

If all five conditions are met, the situation enters the legal zone known as "This Is Now Very Expensive" (TINVE).

FIVE QUESTION LIABILITY TRIGGER (FQLT)

- 1 WHAT WAS CLAIMED?
- 2 WHAT WOULD A REASONABLE PERSON THINK WAS CLAIMED?
- 3 WHAT CAN THE PRODUCT ACTUALLY DO?
- 4 IS THERE A GAP BETWEEN #2 AND #3?
- 5 DID SOMEONE RELY ON #2 AND SUFFER LOSS BECAUSE OF #3?

IF ALL FIVE CONDITIONS ARE MET:
THIS IS NOW VERY EXPENSIVE (TINVE)



SEAL OF SCRUTINY



4. THE AMBIGUITY STRATEGY MODEL

4.1 Legally Optimized Language (LOL)

The Institute has identified a linguistic strategy used in emerging technology sectors called Legally Optimized Language (LOL) — statements that are technically defensible but commonly interpreted in a much stronger way by the public.



Phrase	Public Interpretation	Legal Interpretation
Can write reports	Writes accurate reports	Generates text
Helps with legal work	Reliable for legal tasks	Produces words about law
Automates tasks	Replaces humans	Makes humans supervise faster
Understands documents	Comprehends meaning	Detects patterns
AI agent	Independent actor	Script with a loop

This communication gap is formally classified as Semantic Liability Drift (SLD).

REALITY INSPECTION
RECOMMENDED



REGULATORY FLOW



INSPECTOR'S CHECKLIST

- ☒ WORDS MATTER.
- ☒ CONTEXT MATTERS.
- ☒ EXPECTATIONS MATTER.
- ☒ LOSSES MATTER MOST.

AMBIGUITY IS A DESIGN CHOICE.
LIABILITY IS A CONSEQUENCE.

♦ TRUTH REQUIRES PAPERWORK ♦



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SEAL OF SCRUTINY

5. THE RESPONSIBILITY CHAIN

The Institute rejects the widely used “It’s Just a Tool” Liability Deflection Model (JTL-LDM) when the tool is marketed using capability-implying language.

The legally relevant responsibility chain is:

Party	Responsibility
Company	Must not mislead
Marketing	Must not imply false capability
Legal	Must make ambiguity legally safe
Regulator	Must decide after the damage
Customer	Assumed to be “reasonable”
AI	Cannot be sued (currently very convenient)



This creates what economists call a **Liability Vacuum with Revenue Capture (LVRC)**.

6. PERSONNEL

Name	Title	Qualifications
Sir Jonathan Disclaimer	Director of Plausible Deniability	Drafted 11,000 uses of the word “may”
Dr. Elaine Reasonable	Head of Consumer Interpretation Studies	Defines what “reasonable person” means this year
Prof. Mark Etteing	Chair of Strategic Ambiguity	Former advertising executive
Linda From Legal	Chief Risk Redistribution Officer	Can turn any sentence into fog
The Engineer	Builds the actual system	Not invited to marketing meetings





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7. BUDGET ALLOCATION (FY 2026)

Item	Cost	Justification
Marketing Campaign	£18,000,000	Uses the word "revolutionary"
Legal Review	£9,500,000	Removes words like "guarantee"
Capability Research	£2,100,000	Optional
Benchmark Reports	£4,200,000	Carefully selected tasks
Disclaimer Font Size Reduction	£600,000	Important
Liability Contingency Fund	£750,000	Probably not enough
Engineer Salaries	£1,200,000	Asked to "make it more intelligent"



PUBLIC UNDERSTANDING
BUDGET SHARE:

0.00004%
(ROUNDED UP)



Total Budget: £36,350,000

Amount Spent Ensuring Public Understanding Is Accurate: **£14.50**

WHERE THE MONEY GOES



8. KEY FINDING

The Institute's primary conclusion is the *Expectation-Reality Gap Principle* (ERGP):



When a technology is described using human capability language, humans will assume human capability reliability.

- ✓ This is not a philosophical problem.
- ✓ This is not a technological problem.
- ✓ This is a representation problem.

Or more formally:

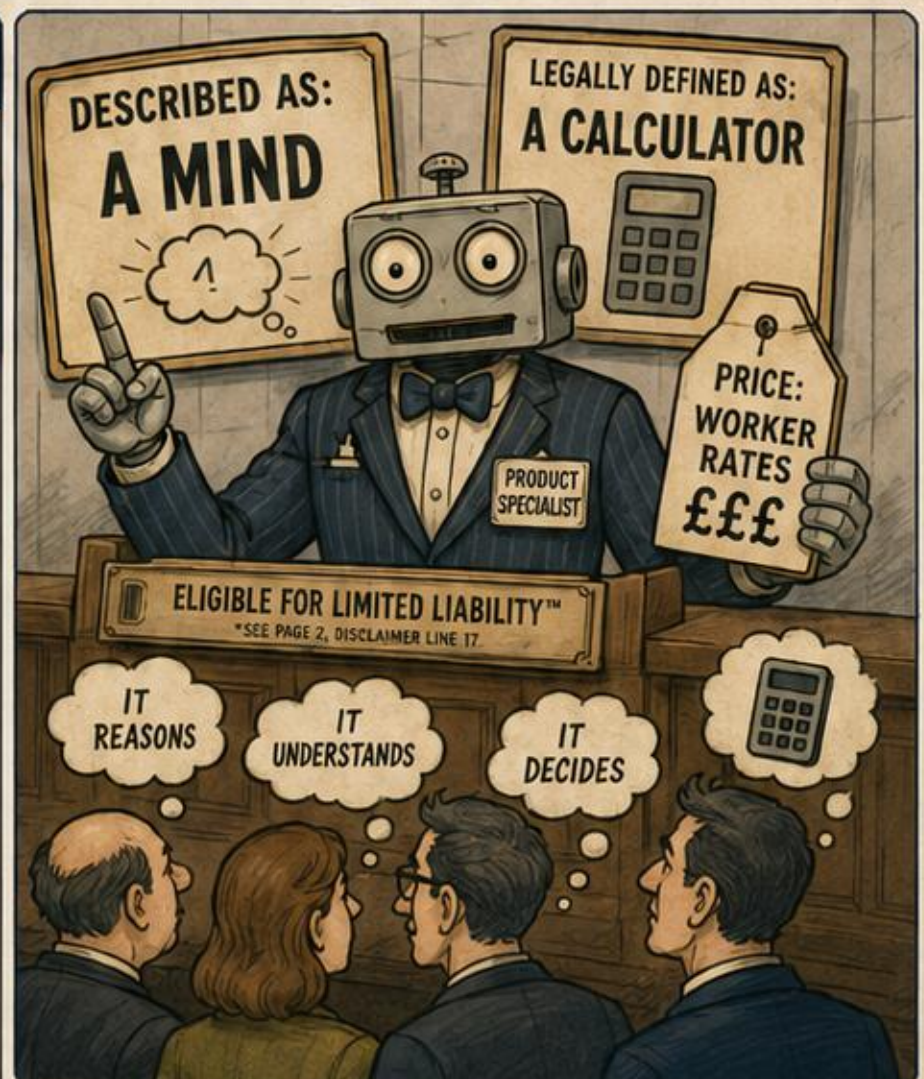


If you sell a calculator,
you are responsible for arithmetic.



If you sell a mind,
you are responsible for decisions.

The AI industry is currently attempting to sell something described like a mind, priced like a worker, but legally defined as a calculator. The Institute predicts this arrangement will continue until a sufficiently expensive court case invents new vocabulary.



**INSPECTION
NOTE #87**

BUDGET ALIGNMENT
WITH REALITY:

INADEQUATE

OBSERVATION LOG

- ✓ HUMAN WORDS USED IN MARKETING
- ✓ HUMAN EXPECTATIONS INEVITABLE
- ✓ LIABILITY: DENIED
- ✓ SOLUTION: TBD

EXPECTATION-REALITY
GAP INDICATOR



CURRENT READING

CRITICAL

AUDITOR COMMENT:

The math adds up.
The semantics
do not.

**SCIENTIFIC
CONSENSUS
REACHED**





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9. CONCLUSION

This paper concludes the following simultaneously:

- AI is a tool.
- AI is marketed like a colleague.
- AI is priced like an employee.
- AI is legally a product.
- AI is technically a statistical model.
- AI is socially treated like an authority.
- AI companies are technology companies.
- AI companies are also advertising companies.
- The law is behind the marketing.
- The marketing is ahead of the engineering.
- The engineering is ahead of public understanding.
- Everyone is ahead of responsibility.

Therefore, responsibility will be assigned later, retroactively, after the first large-scale Reasonable Reliance Event (RRE), also known as “the court case that changes all the terms of service.”

Final Statement of the Institute:

If a machine is marketed as a tool, people use it carefully.
If a machine is marketed as intelligent, people trust it.
If a machine is trusted, mistakes become liability.
If liability exists, someone eventually pays.
The only unanswered question is:

Who, exactly, was the reasonable one?



FINAL INSPECTION VERDICT



FILE CLOSED
(UNTIL IT ISN'T)

STATUS: ARCHIVED WITH EXTREME PREJUDICE

DATE: ALWAYS TOO LATE

SIGNED: *Inspector Reality*
Chief Reality Inspector



END OF DOCUMENT



INSTITUTE FOR REGULATORY REALITY

WE REGRET TO INFORM YOU THE DISCLAIMER WAS NOT A FORCE FIELD.

